

Sandisk

LTAs Structurally Reset Margin Profile And Dampen Cyclicity; LT Financial Model Drives Solid Double-Digits % EPS Growth And Strong FCF; Moving to an OW Rating from NR

Following a period of restriction on Sandisk (SNDK), we are moving to an OW rating (from Not Rated) and a December 2027 price target of \$2,250 (~47% upside from current levels) coming out of the company's 2026 Investor Day held in New York yesterday. In our view, SNDK is in many respects uniquely positioned to capture the ongoing structural inflection in NAND demand driven by rapid growth in AI inference, with three key dynamics underpinning our OW thesis: 1) the New Business Model (NBM) framework (or LTAs - long-term agreements) has structurally reset SNDK's margin profile higher and materially reduced cyclicity, with 8 signed NBMs representing ~\$94B in total contract value at floor pricing, weighted-average contract duration of 4+ years, and ~80% GM even at the floor pricing tier; 2) NAND market TAM is inflecting from ~\$70B in CY25 (JPMe) to \$300B+ in CY26 and ~\$500B in CY27, with Data Center representing the largest driver of growth (by far) as hyperscale/cloud customers increasingly deploy flash for inference-era workloads (incl. persistent KV cache - a major driver of bit demand growth); and 3) SNDK is delivering technology leadership, with BiCS10 sampling ahead of schedule (332-layer 2Tb QLC with 65% more bits per wafer than BiCS8), a projected 27% CAGR in per-wafer bit productivity through BiCS generations, and High Bandwidth Flash (HBF) emerging as a differentiated inference-era memory platform. Mgmt introduced a long-term financial model for FY28-FY30 targeting mid-/high-teens% revenue growth (in-line with bit growth - implying ~flat pricing was conservatively assumed), ~80% GM, ~75% OpM, and ~50% adjusted FCF margin, representing a clear step-change from historical norms where GMs oscillated well below this level. To us this screens as a substantive reset rather than peak-cycle pricing capture, with NBMs accounting for >50% of FY27 bits and growing to ~2/3 in FY28, and contracts detailing month-by-month volume, mix, and price commitments backed by \$16.5B in financial guarantees, significantly improving forward visibility from the "three months of pricing visibility" that has been "standard operating procedure" for the industry, to 4+ years of committed economics with strategic customers. Even at floor pricing, we think NBMs sustain ~80% GMs across the multi-year contract lives, with upside captured through variable pricing mechanisms. We also view the LT financial model as embedding meaningful earnings leverage that we think is not fully captured in current consensus estimates as mid-/high-teens% revenue growth ultimately translates into an EPS growth CAGR north of 25%. Layered on top, mgmt's commitment to returning 100% of excess cash flow to shareholders should drive an aggressive share count reduction trajectory that further amplifies EPS growth on a per-share basis. We think this combination of higher through-cycle profitability, sustained bit demand growth, and share count reduction sets up a compounding earnings power dynamic that supports our CY27 EPS estimate of \$250 and, in our view, points to a multi-year path toward meaningfully higher EPS levels beyond CY27. Longer-term, we view HBF and emerging 3D Matrix Memory technology as meaningful virtual call options on inference-era memory architecture that, in our view, are not fully reflected in current consensus estimates or valuation. We move to an OW rating and see ~47% upside in the stock from

Overweight

SNDK, SNDK US

Price (13 Aug 26):\$1,528.11

Price Target (Dec-27):\$2,250.00

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J.P. Morgan Securities LLC

Quarterly Forecasts (FYE Jun)

Adj. EPS (\$)

	2026A	2027E	2028E
Q1	1.22	46.60	64.63
Q2	6.20	53.22	67.25
Q3	23.41	56.54	67.69
Q4	39.25	61.31	67.80
FY	70.07	217.67	267.36

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)				
		6M	1Y	3Y	5Y	
Value	40	63	4			
Growth	17	62	32			
Momentum	1	1	16			
Quality	12	74	42	96	89	
Low Vol	94	91	85			

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	543.7%	-8.7%	5.6%	3150.6%
Rel	520.7%	-12.1%	-1.8%	3119.5%

Company Data

Shares O/S (mn)	157
52-week range (\$)	2,354.39-42.82
Market cap (\$ mn)	239,913.30
Exchange rate	1.00
Free float (%)	98.7%
3M ADV (mn)	13.42
3M ADV (\$ mn)	21,287.3
Volatility (90 Day)	129
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	26/4/0

Key Metrics (FYE Jun)

\$ in millions	FY26A	FY27E	FY28E
Financial Estimates			
Revenue	20,248	48,646	57,536
Adj. EBIT	12,700	38,866	45,300
Adj. EBITDA	12,408	38,622	45,056
Adj. net income	10,985	33,103	38,572
Adj. EPS	70.07	217.67	267.36
BBG EPS	65.92	211.05	258.66
Cashflow from operations	11,671	29,374	37,355
FCFF	11,522	27,866	34,417
Margins and Growth			
Revenue Growth Y/Y (%)	175.3%	140.3%	18.3%
EBIT margin	62.7%	79.9%	78.7%
EBIT Growth Y/Y (%)	1743.3%	206.0%	16.6%
EBITDA margin	61.3%	79.4%	78.3%
EBITDA Growth Y/Y (%)	(1011.7%)	211.3%	16.7%
Net margin	54.3%	68.0%	67.0%
Adj. EPS growth	2196.9%	210.6%	22.8%
Ratios			
Adj. tax rate	13.0%	14.9%	14.9%
Interest cover	4,136.0	NM	NM
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	88.0%	186.3%	196.6%
Valuation			
FCFF yield	4.8%	12.0%	15.6%
Dividend yield	-	-	-
EV/Revenue	11.6	4.8	4.1
EV/EBITDA	19.0	6.1	5.3
Adj. P/E	21.8	7.0	5.7

Summary Investment Thesis and Valuation

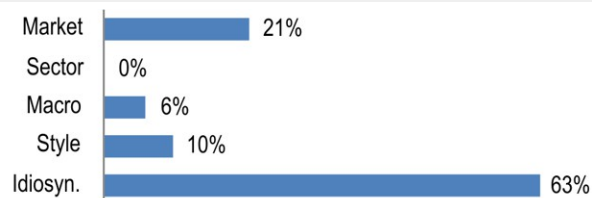
Investment Thesis

Sandisk's "New Business Model" long-term agreements have structurally reset its margin profile higher and materially reduced cyclicality by converting the majority of its business into long-dated, high-margin, take-or-pay-style revenue, while a structural inflection in NAND demand (driven by AI inference reshaping data center storage) and technology leadership across its BiCS roadmap and emerging High Bandwidth Flash platform underpin a step-change in through-cycle profitability. This combination of durable margins, sustained bit demand growth, and a commitment to returning excess cash to shareholders sets up a compounding earnings power dynamic that points to a multi-year path of meaningfully higher earnings power.

Valuation

Our December 2027 price target of \$2,250 assumes SNDK trades at 9x (within the historical 7-10x forward memory P/E range) applied to our CY27 EPS estimate of \$250.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.50	0.47
Sect: Technology	-0.08	0.00
Ind: Tech Hard Equip	-0.22	-0.15
Macro:		
Economic Surprise	0.08	-0.16
Credit Spread	0.20	0.16
US 10yr yield	-0.09	-0.16
Quant Styles:		
Momentum	0.39	0.35
Size	0.26	0.20
DivYld	0.00	-0.14

current levels. Our Dec-27 price target of \$2,250 assumes SNDK trades at 9x (mid-point of the historical 7-10x forward memory P/E range) applied to our CY27 EPS estimate of \$250.

- **NBMs structurally reset margin profile higher and materially reduce cyclicality; 8 signed customers with ~\$94B TCV at floor pricing and ~80% GM economics.** SNDK's NBM framework, in our view, signifies a major structural change to the flash industry business model. Under NBMs, SNDK signs multi-year, qtr-by-qtr volume and pricing commitments with its most strategic DC and edge customers, with fixed and variable pricing components, floor and ceiling guardrails, financial guarantees to align interests, and detailed month-by-month volume/mix commitments. Since initially announcing five NBMs in April, SNDK has signed three additional NBMs with new customers and expanded two existing NBMs (with those two customers increasing their commitments within a quarter of initial signing) - strong validation that customer demand is running ahead of prior commitments. Financial guarantees amounting to \$16.5B serve as protection for SNDK if a customer fails to satisfy its purchase obligations. Critically, we think the ~80% GM economics at floor pricing represents a structural shift rather than the capture of peak-cycle pricing. We expect variable pricing to trend above the floor across most of the contract life given current supply/demand dynamics, providing an upside lever to margin targets. NBM share of SNDK's bits is expected to grow from >50% in FY27 to ~2/3 in FY28, and we view this as effectively converting the majority of SNDK's business from spot-priced commodity flash into a long-dated, high-margin, take-or-pay-style revenue stream. In our view, this transition dramatically compresses cyclical volatility relative to the historical "three months of pricing visibility" that produced boom-bust cycles (such as FY23). Going forward, mgmt has stated it will remain highly selective in evaluating additional NBMs, which we think is an appropriate posture given the meaningful share of supply now spoken for, enabling SNDK to preserve optionality for spot-market upside on the non-NBM bit base.
- **NAND TAM inflecting from ~\$70B in CY25 to \$300B+ in CY26 and ~\$500B in CY27, driven by data center as AI inference workloads reshape storage requirements.** The NAND market is undergoing what we think is a structural inflection driven by AI infrastructure investment, with a TAM that is expected to grow from ~\$70B in CY25 (JPMe) to >\$300B in CY26 and approaching \$500B in CY27 (per SNDK estimates, which align closely with JPMe - see [here](#)). Data center is the key driver of this growth, shifting from ~30% of TAM in CY25 to ~50% in CY26 and continuing to outpace the overall market in CY27. Underpinning this shift is the emergence of AI inference, which is fundamentally a memory-centric, storage-intensive problem: every AI interaction generates content that must be stored, retrieved, and served at low latency, with persistent KV cache emerging as a critical new NAND workload as models scale to larger context lengths, higher parameter counts, and agentic architectures. Importantly, we think the supply side of the equation is structurally constructive, with industry wafer capacity now ~30% below prior peak and running at ~100% utilization. This means near-term bit growth comes primarily from nodal migrations rather than wafer additions, which structurally supports pricing durability and, we think, extends the current upcycle materially beyond what historical patterns would suggest. On the edge side, we expect unit growth in smartphones and PCs to be >10% in CY26 as demand adjusts to premium mix, before potentially returning to unit growth in CY27 with content per device continuing to expand as on-device AI, richer content, and new form factors drive higher storage requirements. Notably, mgmt indicated bits are expected to remain on allocation beyond CY27 - a data point we think is materially bullish for sustained NAND pricing durability through the remainder of the decade.
- **Technology and product strength across BiCS roadmap, systems capabilities, and emerging HBF platform; BiCS10 sampling ahead of schedule.** On the BiCS roadmap, SNDK introduced BiCS10 (332-layer 2Tb QLC), which mgmt characterized as the world's highest-density memory chip and confirmed is now sampling (a milestone we

think is particularly notable given development is moving ahead of expectations). BiCS10 delivers ~60% memory density improvement, ~100% write/read bandwidth improvement, ~33% interface speed improvement, and ~75% power efficiency improvement vs. BiCS8, and packs 65% more bits per wafer than the prior generation - metrics that in our view cement SNDK's strong competitive positioning relative to peers. In parallel, SNDK has also introduced BiCS9 2Tb QLC, which combines the mature BiCS8 cell array with BiCS10-like CMOS features, delivering higher performance and power efficiency vs. BiCS8 QLC with minimal incremental capex, which we view as a reinforcement of SNDK's industry-leading capital efficiency positioning. Over 5 generations of BiCS technology (BiCS5 through BiCS11), SNDK averages 54% gen-to-gen bit per wafer growth, or a 27% CAGR in per-wafer bit productivity (outpacing the mid-/high-teens% bit growth targeted in the LT model), positioning SNDK to deliver bit growth commitments through technology alone (i.e. no wafer additions), preserving capital and supporting its MSD% capital intensity target. Longer-term, we view HBF (High Bandwidth Flash) as an emerging differentiated inference-era memory architecture that, in our view, is one of the more compelling call options in the memory space. SNDK's own HBF vs. HBM simulations show 8x CapEx efficiency for minimum-config workloads and 2x GPU efficiency at maximum token output - data points we think are compelling enough that we expect meaningful customer engagement to continue building through 2027. The inaugural HBF specification was released last week, with the first HBF memory die taped out and first HBF inference product samples targeted for 2027.

- **Moving to an Overweight rating on Sandisk (from Not Rated) - \$2,250 PT.** Our December 2027 price target of \$2,250 assumes SNDK trades at 9x (within the historical 7-10x forward memory P/E range) applied to our CY27 EPS estimate of \$250, implying ~47% upside from current levels. We move to an Overweight rating (from Not Rated).

Appendix I: Comp and Group Valuation

Figure 1: Sandisk Comp Group

Company Name	Bloomberg Ticker	Currency	JPM Analyst	JPM Rating	YTD Price	Change %	Market Cap (\$ mm)	Sales C26E	Sales C27E	EPS C26E	EPS C27E	P/2026	P/2027	Current P/B(x)
MICRON TECHNOLOGY INC	MU	USD	Harlan Sur	Overweight	\$949.83	232.8%	\$1,072,731	\$ 172,887	\$ 267,361	\$ 103.46	\$ 161.97	9.2x	5.9x	10.6x
SAMSUNG ELECTRONICS CO LTD	005930 KS	KRW	Jay Kwon	Overweight	263000	118.4%	\$1,082,450	729,376,254	976,000,000	48,071	70,440	5.5x	3.7x	3.1x
SK HYNIX INC	000660 KS	KRW	Jay Kwon	Overweight	1572000	141.1%	\$808,427	349,841,146	539,350,578	353,916	470,842	4.4x	3.3x	6.8x
NANYA TECHNOLOGY CORP	2408 TT	NTD	Jay Kwon	Overweight	\$514.00	166.3%	\$55,143	\$ 353,266	\$ 548,196	\$ 64.30	\$ 101.54	8.0x	5.1x	4.9x
Median												6.7x	4.4x	5.9x

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Prices as of market close 8/13/2026.

Appendix II: Financial Tables

Figure 2: Sandisk Income Statement

Sandisk Income Statement (\$MM except as indicated - June year end)	Sep-24 F1Q25	Dec-24 F2Q25	Mar-25 F3Q25	Jun-25 F4Q25	Sep-25 F1Q26	Dec-25 F2Q26	Mar-26 F3Q26	Jun-26 F4Q26	Sep-26 F1Q27E	Dec-26 F2Q27E	Mar-27 F3Q27E	Jun-27 F4Q27E	Sep-27 F1Q28E	Dec-27 F2Q28E	Mar-28 F3Q28E	Jun-28 F4Q28E
Net revenue	1,883	1,876	1,695	1,901	2,308	3,025	5,950	8,965	10,650	11,966	12,569	13,461	14,072	14,494	14,488	14,482
% Growth, y/y	22.8%	12.7%	-0.6%	8.0%	22.6%	61.2%	251.0%	371.6%	361.5%	295.6%	111.2%	50.2%	32.1%	21.1%	15.3%	7.6%
% Growth, q/q	7.0%	-0.4%	-9.6%	12.2%	21.4%	31.1%	96.7%	50.7%	18.8%	12.4%	5.0%	7.1%	4.5%	3.0%	0.0%	0.0%
Non-GAAP COGS	1,151	1,267	1,310	1,399	1,617	1,479	1,284	1,377	1,636	1,855	1,988	2,149	2,314	2,431	2,504	2,631
% of Sales	61%	68%	77%	74%	70%	49%	22%	15%	15%	16%	16%	16%	16%	17%	17%	18%
Stock based compensation	(6)	(3)	(3)	(4)	(4)	(5)	(4)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)
Total cost of revenue (GAAP)	1,157	1,270	1,313	1,403	1,621	1,484	1,288	1,383	1,642	1,861	1,994	2,156	2,320	2,437	2,510	2,637
GAAP gross profit	726	606	382	498	687	1,541	4,662	7,582	9,009	10,104	10,575	11,306	11,752	12,057	11,978	11,845
GAAP gross margin	38.6%	32.3%	22.5%	26.2%	29.8%	50.9%	78.4%	84.6%	84.6%	84.4%	84.1%	84.0%	83.5%	83.2%	82.7%	81.8%
Non-GAAP gross profit	732	609	385	502	691	1,546	4,666	7,588	9,015	10,110	10,581	11,312	11,758	12,063	11,984	11,851
Non-GAAP gross margin	38.9%	32.5%	22.7%	26.4%	29.9%	51.1%	78.4%	84.6%	84.6%	84.5%	84.2%	84.0%	83.6%	83.2%	82.7%	81.8%
Operating expenses:																
Research and development	283	279	285	285	316	327	337	348	368	373	376	383	390	397	404	411
% Growth, y/y	17.9%	13.4%	2.9%	-4.4%	11.7%	17.2%	18.2%	22.1%	16.5%	14.1%	11.6%	10.1%	6.0%	6.4%	7.4%	7.3%
% Growth, q/q	-5.0%	-1.4%	2.2%	0.0%	10.9%	3.5%	3.1%	3.3%	5.7%	1.4%	0.8%	1.9%	1.8%	1.8%	1.8%	1.7%
% of Sales	15.0%	14.9%	16.8%	15.0%	13.7%	10.8%	5.7%	3.9%	3.5%	3.1%	3.0%	2.8%	2.8%	2.7%	2.8%	2.8%
Sales and marketing	130	142	139	162	179	139	161	197	217	222	225	232	239	246	253	260
% Growth, y/y	10.2%	25.7%	29.9%	38.5%	37.7%	-2.1%	15.8%	21.6%	21.2%	59.7%	39.8%	17.8%	10.1%	10.8%	12.4%	12.1%
% Growth, q/q	11.1%	9.2%	-2.1%	16.5%	10.5%	-22.3%	15.8%	22.4%	10.2%	2.3%	1.4%	3.1%	3.0%	2.9%	2.8%	2.8%
% of Sales	6.9%	7.6%	8.2%	8.5%	7.8%	4.6%	2.7%	2.2%	2.0%	1.9%	1.8%	1.7%	1.7%	1.7%	1.7%	1.8%
Restructuring and other costs, net																
Other opex items	22	(10)	1,839	33	16	10	7	0								
Amortization of intangibles & write-offs	0	0	0	0	0	0	46	0								
GAAP total operating expenses	435	411	2,263	480	511	476	551	545	585	595	601	615	629	643	657	671
% of Sales	23%	22%	134%	25%	22%	16%	9%	6%	5%	5%	5%	5%	4%	4%	5%	5%
GAAP operating income (loss)	291	195	(1,881)	18	176	1,065	4,111	7,037	8,424	9,509	9,974	10,691	11,123	11,414	11,321	11,174
Operating margin	15.5%	10.4%	-111.0%	0.9%	7.6%	35.2%	69.1%	78.5%	79.1%	79.5%	79.4%	79.4%	79.0%	78.8%	78.1%	77.2%
Stock comp embedded in opex	(35)	(45)	(41)	(45)	(49)	(53)	(50)	(61)	(61)	(61)	(61)	(61)	(61)	(61)	(61)	(61)
Other	(22)	10	(1,839)	(33)	(16)	(10)	(53)	0	0	0	0	0	0	0	0	0
Non-GAAP operating expenses	378	376	383	402	446	413	448	484	524	534	540	554	568	582	596	610
% Growth, y/y	21.2%	19.0%	9.1%	4.1%	18.0%	9.8%	17.0%	20.4%	17.5%	29.3%	20.5%	14.5%	8.4%	9.0%	10.4%	10.1%
% Growth, q/q	-2.1%	-0.5%	1.9%	5.0%	10.9%	-7.4%	8.5%	8.0%	8.3%	1.9%	1.1%	2.6%	2.5%	2.5%	2.4%	2.3%
% of Sales	20.1%	20.0%	22.6%	21.1%	19.3%	13.7%	7.5%	5.4%	4.9%	4.5%	4.3%	4.1%	4.0%	4.0%	4.1%	4.2%
Non-GAAP operating income (loss)	354	233	2	100	245	1,133	4,218	7,104	8,491	9,576	10,041	10,758	11,190	11,481	11,388	11,241
Non-GAAP operating margin	18.8%	12.4%	0.1%	5.3%	10.6%	37.5%	70.9%	79.2%	79.7%	80.0%	79.9%	79.9%	79.5%	79.2%	78.6%	77.6%
Equity income from joint ventures																
Interest income	3	2	6	11	16	12	12	30	20	20	20	20	20	20	20	20
Interest expense	(2)	(4)	(16)	(41)	(40)	(25)	(6)	(2)	(2)	(2)	(2)	(2)	(2)	(2)	(2)	(2)
Interest and other non-GAAP adjustments		(4)	(2)	(1)	10	94	1	(804)								
Other income (expense)	(25)	(20)	(10)	(6)	(28)	(115)	(10)	784	(10)	(10)	(10)	(10)	(10)	(10)	(10)	(10)
Interest and other expense, net	(24)	(22)	(20)	(36)	(52)	(128)	(4)	812	8	8	8	8	8	8	8	8
Non-GAAP interest and other expense, net	(24)	(26)	(22)	(37)	(42)	(34)	(3)	8	8	8	8	8	8	8	8	8
GAAP Income (loss) before income taxes	267	173	(1,901)	(18)	124	937	4,107	7,849	8,432	9,517	9,982	10,699	11,131	11,422	11,329	11,182
Tax rate	21.0%	39.9%	-1.7%	-27.8%	9.7%	14.3%	12.0%	12.1%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
Income taxes	56	69	32	5	12	134	492	946	1,265	1,428	1,497	1,605	1,670	1,713	1,699	1,677
Non-GAAP income tax adjustment	(40)	(9)	16	10	10	(2)	48	4								
GAAP net income (loss) from cont.ops.	211	104	(1,933)	(23)	112	803	3,615	6,903	7,167	8,090	8,485	9,094	9,461	9,709	9,629	9,505
Other non-GAAP adjustments	11															
Non-GAAP net income	263	178	(43)	42	181	967	3,675	6,162	7,234	8,157	8,552	9,161	9,528	9,776	9,696	9,572
GAAP Basic EPS	1.47	0.72	(13.33)	(0.16)	0.77	5.46	24.43	46.96	49.34	56.46	60.07	65.23	68.84	71.72	72.26	72.45
GAAP Diluted EPS	1.47	0.72	(13.38)	(0.16)	0.75	5.15	23.03	43.97	46.17	52.78	56.10	60.86	64.17	66.79	67.22	67.32
Pro Forma Basic EPS	1.83	1.24	(0.30)	0.29	1.24	6.58	24.83	41.92	49.81	56.93	60.54	65.71	69.33	72.22	72.77	72.97
Pro Forma Diluted EPS	1.83	1.24	(0.30)	0.29	1.22	6.20	23.41	39.25	46.60	53.22	56.54	61.31	64.63	67.25	67.69	67.80

Source: Company reports and J.P. Morgan estimates.

Figure 3: Sandisk Balance Sheet

<i>Sandisk Balance Sheet (\$MM except as indicated - June year end)</i>	Sep-24 F1Q25	Dec-24 F2Q25	Mar-25 F3Q25	Jun-25 F4Q25	Sep-25 F1Q26	Dec-25 F2Q26	Mar-26 F3Q26	Jun-26 F4Q26	Sep-26 F1Q27E	Dec-26 F2Q27E	Mar-27 F3Q27E	Jun-27 F4Q27E	Sep-27 F1Q28E	Dec-27 F2Q28E	Mar-28 F3Q28E	Jun-28 F4Q28E
ASSETS																
Current assets:																
Cash and cash equivalents	322	804	1,507	1,481	1,442	1,539	3,735	4,762	5,135	5,279	5,128	4,950	4,510	4,072	3,656	3,220
Short term investments																
Total cash & ST investments	322	804	1,507	1,481	1,442	1,539	3,735	4,762	5,135	5,279	5,128	4,950	4,510	4,072	3,656	3,220
Accounts receivable, net	1,037	904	979	1,068	1,193	1,239	2,726	4,708	5,593	6,284	6,601	7,069	7,390	7,611	7,608	7,605
Inventories	2,069	2,172	2,160	2,079	1,907	1,970	2,238	2,698	3,427	3,887	4,163	4,503	4,847	5,092	5,246	5,511
Income tax receivable	7	8	53	66	72	45	81	22	22	22	22	22	22	22	22	22
Notes Due from Parent	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Deferred tax assets, net																
Net Investment in lease receivable																
Other current assets	953	568	391	392	370	357	388	590	590	590	590	590	590	590	590	590
Total current assets	4,388	4,456	5,090	5,086	4,984	5,150	9,168	12,780	14,767	16,062	16,504	17,134	17,358	17,387	17,122	16,948
Property and equipment, net	552	579	603	619	630	631	649	674	674	674	674	674	674	674	674	674
Investment in FlashVision / Flash Partners / Flash AI	1,066	871	662	654	602	677	684	678	678	678	678	678	678	678	678	678
Goodwill and Intangibles	6,932	6,825	4,997	4,999	4,998	4,995	4,994	4,994	4,994	4,994	4,994	4,994	4,994	4,994	4,994	4,994
Deferred tax assets	56	96	51	58	57	62	87	66	66	66	66	66	66	66	66	66
Income tax receivable	12	13	79	80	61	98	134	169	169	169	169	169	169	169	169	169
Other non-current assets	884	1,394	1,478	1,489	1,417	1,385	1,359	3,146	3,146	3,146	3,146	3,146	3,146	3,146	3,146	3,146
Total assets	13,890	14,234	12,960	12,985	12,749	12,998	17,075	22,507	24,494	25,789	26,231	26,861	27,085	27,114	26,849	26,675
LIABILITIES & SHAREHOLDER'S EQUITY																
Current liabilities:																
Accounts payable	297	320	363	366	398	436	416	516	613	695	744	804	866	909	937	984
Accounts payable to related parties	352	369	395	400	486	433	435	460	460	460	460	460	460	460	460	460
Accrued expenses	236	438	446	425	382	393	383	313	313	313	313	313	313	313	313	313
Income taxes payable	12	5	37	43	22	99	31	1,286	1,286	1,286	1,286	1,286	1,286	1,286	1,286	1,286
Accrued compensation	169	188	114	173	208	273	329	657	657	657	657	657	657	657	657	657
Notes due to Parent	296	553	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Liabilities held for sale and other	110	0	0	0	0	0	323	2,349	2,349	2,349	2,349	2,349	2,349	2,349	2,349	2,349
Current portion of long-term debt			20	20	20	20	0	0	0	0	0	0	0	0	0	0
Total Current Liabilities	1,472	1,873	1,375	1,427	1,516	1,654	1,917	5,581	5,678	5,760	5,809	5,869	5,931	5,974	6,002	6,049
Deferred tax liabilities	18	53	17	17	28	22	17	161	161	161	161	161	161	161	161	161
Long-term debt			1,927	1,829	1,331	583	0	0	0	0	0	0	0	0	0	0
Other liabilities	274	307	480	496	493	526	1,364	1,029	1,029	1,029	1,029	1,029	1,029	1,029	1,029	1,029
Total Liabilities	1,764	2,233	3,799	3,769	3,368	2,785	3,298	6,771	6,868	6,950	6,999	7,059	7,121	7,164	7,192	7,239
Common stock, add'l paid-in capital, accum. Deficit	12,369	12,435	9,467	9,465	9,615	10,468	14,036	15,992	10,648	3,705	(4,454)	(13,045)	(22,411)	(32,201)	(42,190)	(51,983)
Accumulated other comprehensive loss	(243)	(434)	(306)	(249)	(234)	(255)	(259)	(256)	6,978	15,134	23,686	32,847	42,376	52,151	61,848	71,420
Total Equity	12,126	12,001	9,161	9,216	9,381	10,213	13,777	15,736	17,626	18,839	19,232	19,802	19,965	19,950	19,658	19,437
Total Liabilities and Equity	13,890	14,234	12,960	12,985	12,749	12,998	17,075	22,507	24,494	25,789	26,231	26,861	27,085	27,114	26,849	26,675

Source: Company reports and J.P. Morgan estimates.

Figure 4: Sandisk Cash Flow Statement

<i>Sandisk Cash Flow Statement</i> <i>(\$MM except as indicated - June year end)</i>	Sep-24 F1Q25	Dec-24 F2Q25	Mar-25 F3Q25	Jun-25 F4Q25	Sep-25 F1Q26	Dec-25 F2Q26	Mar-26 F3Q26	Jun-26 F4Q26	Sep-26 F1Q27E	Dec-26 F2Q27E	Mar-27 F3Q27E	Jun-27 F4Q27E	Sep-27 F1Q28E	Dec-27 F2Q28E	Mar-28 F3Q28E	Jun-28 F4Q28E
CASH FLOWS FROM OPERATING ACTIVITIES:																
Net cash provided by operating activities:																
Net income	211	104	(1,933)	(23)	112	803	3,615	6,903	7,167	8,090	8,485	9,094	9,461	9,709	9,629	9,505
Depreciation and amortization	54	36	37	36	36	38	38	37	37	37	37	37	37	37	37	37
Stock-based compensation	41	48	44	49	53	58	54	67	67	67	67	67	67	67	67	67
Deferred income taxes	(5)	28	(16)	(19)	3	(13)	(32)	162	0	0	0	0	0	0	0	0
Asset/goodwill impairment	0	1	1,830	0	0	5	0	0	0	0	0	0	0	0	0	0
Gain on disposal of assets	0	(35)	0	0	10	0	1	4	0	0	0	0	0	0	0	0
Unrealized foreign exchange (gain) loss	(8)	3	(1)	(19)	1	19	19	47	0	0	0	0	0	0	0	0
Equity loss in investees, net of dividends received	10	49	0	6	27	19	12	102	0	0	0	0	0	0	0	0
Other non-cashoperating activities, net	6	4	17	8	(4)	27	49	(804)	0	0	0	0	0	0	0	0
Settlement of accrued interest on Notes due to Parent	(96)	0	(3)	0	0	0	0	0	0	0	0	0	0	0	0	0
Changes in assets and liabilities:																
Accounts receivable, net	(102)	133	(42)	(89)	(125)	(46)	(1,487)	(1,982)	(885)	(691)	(317)	(469)	(321)	(222)	3	3
Inventories	(149)	(103)	11	81	172	(63)	(268)	(460)	(729)	(460)	(277)	(339)	(344)	(245)	(154)	(265)
Accounts payable	33	24	42	(6)	30	45	(39)	73	97	82	49	60	61	44	27	47
Accounts payable to related parties	39	(93)	26	5	86	(53)	2	25	0	0	0	0	0	0	0	0
Accrued expenses	(172)	185	(10)	10	(43)	5	17	45	0	0	0	0	0	0	0	0
Accrued compensation	(13)	19	(44)	59	35	65	56	304	0	0	0	0	0	0	0	0
Other assets and liabilities, net	20	(308)	68	(4)	95	110	1,001	2,603	0	0	0	0	0	0	0	0
NET CASH PROVIDED BY OPERATING ACTIVITIES	(131)	95	26	94	488	1,019	3,038	7,126	5,754	7,125	8,045	8,450	8,962	9,389	9,610	9,394
CASH FLOWS FROM INVESTING ACTIVITIES:																
Purchases of property, plant and equipment	(67)	(48)	(44)	(45)	(50)	(39)	(45)	(43)	(107)	(299)	(503)	(538)	(704)	(725)	(724)	(724)
Proceeds from the sale of property, plant and equipment	0	0	0	0	25	0	0	0	0	0	0	0	0	0	0	0
Notes receivable issuances to Flash Ventures	(14)	(252)	(8)	(59)	(87)	(169)	(83)	(123)	0	0	0	0	0	0	0	0
Notes receivable proceeds from Flash Ventures	62	120	246	87	97	32	45	13	0	0	0	0	0	0	0	0
Strategic investments and other, net	0	368	210	0	0	11	0	(970)	0	0	0	0	0	0	0	0
NET CASH USED IN INVESTING ACTIVITIES	(19)	188	404	(17)	(15)	(165)	(83)	(1,123)	(107)	(299)	(503)	(538)	(704)	(725)	(724)	(724)
CASH FLOWS FROM FINANCING ACTIVITIES:																
Proceeds from debt issuance	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Repayments of debt	0	0	0	(100)	(500)	(750)	(650)	0	0	0	0	0	0	0	0	0
Proceeds from principal repayments on notes due from Parent	101	449	1,970	0	0	0	0	0	0	0	0	0	0	0	0	0
Repayments of principal on notes due to Parent	(76)	177	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Proceeds from borrowings on notes due to Parent	0	(76)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Origination of notes due from Parent	0	0	(1,656)	0	0	0	0	0	0	0	0	0	0	0	0	0
Transfers from/(to) Parent	189	(420)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Repurchase of common stock	0	0	0	0	0	0	0	(4,524)	(5,274)	(6,682)	(7,693)	(8,090)	(8,699)	(9,103)	(9,301)	(9,106)
Other	0	0	(38)	(2)	(15)	(8)	(102)	(452)	0	0	0	0	0	0	0	0
NET CASH PROVIDED BY (USED IN) FINANCING ACTIVITIES	214	130	276	(102)	(515)	(758)	(752)	(4,976)	(5,274)	(6,682)	(7,693)	(8,090)	(8,699)	(9,103)	(9,301)	(9,106)
Changes in cash and cash equivalents classified as assets held for sale	0	0	0	0	0	0	0	0								
Effect of changes in foreign currency exchange rates on cash	1	(2)	(3)	(1)	3	1	(7)	0								
Change in cash and cash equivalents	65	411	703	(26)	(39)	97	2,196	1,027	373	144	(151)	(178)	(441)	(438)	(415)	(436)
Cash and cash equivalents at beginning of period	328	393	804	1,507	1,481	1,442	1,539	3,735	4,762	5,135	5,279	5,128	4,950	4,510	4,072	3,656
Cash and cash equivalents at end of period	393	804	1,507	1,481	1,442	1,539	3,735	4,762	5,135	5,279	5,128	4,950	4,510	4,072	3,656	3,220

Source: Company reports and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Sandisk (*Overweight; Price Target: \$2,250.00*)

Investment Thesis

Sandisk's "New Business Model" long-term agreements have structurally reset its margin profile higher and materially reduced cyclicalities by converting the majority of its business into long-dated, high-margin, take-or-pay-style revenue, while a structural inflection in NAND demand (driven by AI inference reshaping data center storage) and technology leadership across its BiCS roadmap and emerging High Bandwidth Flash platform underpin a step-change in through-cycle profitability. This combination of durable margins, sustained bit demand growth, and a commitment to returning excess cash to shareholders sets up a compounding earnings power dynamic that points to a multi-year path of meaningfully higher earnings power.

Valuation

Our December 2027 price target of \$2,250 assumes SNDK trades at 9x (within the historical 7-10x forward memory P/E range) applied to our CY27 EPS estimate of \$250.

Risks to Rating and Price Target

AI "bubble" unwinds faster than expected

A sharper slowdown in AI infrastructure capex, project cancellations, or tighter ROI scrutiny could lead to eSSD order cuts and pricing pressure much earlier than our 2028+ normalization timeframe.

Aggressive capacity additions and pricing competition

NAND suppliers may overbuild in response to current margins (or chase share via price), driving ASP compression and margin erosion that is both steeper and sooner than modeled, especially for commodity eSSD.

Macro-driven legacy market downturn

While current attention is focused squarely on AI-driven eSSD demand, ~60-70% of NAND bits still go into smartphones, PCs, and consumer electronics. If a global recession or continued consumer weakness causes a high-single-digit decline in handset/PC units, the industry will be forced to dump excess capacity intended for those markets, dragging down blended ASPs and negating the premium pricing in the data center channel.

Sandisk: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY25A	FY26A	FY27E	FY28E	FY29E		1Q27E	2Q27E	3Q27E	4Q27E	
Revenue	7,355	20,248	48,646	57,536	-	Revenue	10,650	11,966	12,569	13,461	-
COGS	(5,143)	(5,776)	(7,652)	(9,904)	-	COGS	(1,642)	(1,861)	(1,994)	(2,156)	-
Gross profit	2,212	14,472	40,994	47,632	-	Gross profit	9,009	10,104	10,575	11,306	-
SG&A	(573)	(676)	(896)	(998)	-	SG&A	(217)	(222)	(225)	(232)	-
Adj. EBITDA	(1,361)	12,408	38,622	45,056	-	Adj. EBITDA	8,430	9,515	9,980	10,697	-
D&A	-	-	-	-	-	D&A	-	-	-	-	-
Adj. EBIT	689	12,700	38,866	45,300	-	Adj. EBIT	8,491	9,576	10,041	10,758	-
Net Interest	(41)	(3)	72	72	-	Net Interest	18	18	18	18	-
Adj. PBT	569	12,629	38,898	45,332	-	Adj. PBT	8,499	9,584	10,049	10,766	-
Tax	(162)	(1,584)	(5,794)	(6,760)	-	Tax	(1,265)	(1,428)	(1,497)	(1,605)	-
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	-
Adj. Net Income	440	10,985	33,103	38,572	-	Adj. Net Income	7,234	8,157	8,552	9,161	-
Reported EPS	(11.38)	72.93	215.90	265.50	-	Reported EPS	46.17	52.78	56.10	60.86	-
Adj. EPS	3.05	70.07	217.67	267.36	-	Adj. EPS	46.60	53.22	56.54	61.31	-
DPS	-	-	-	-	-	DPS	-	-	-	-	-
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	-
Shares outstanding	144	157	152	144	-	Shares outstanding	155	153	151	149	-
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY25A	FY26A	FY27E	FY28E	FY29E		FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	1,481	4,762	4,950	3,220	-	Gross margin	30.1%	71.5%	84.3%	82.8%	-
Accounts receivable	1,068	4,708	7,069	7,605	-	EBITDA margin	(18.5%)	61.3%	79.4%	78.3%	-
Inventories	2,079	2,698	4,503	5,511	-	EBIT margin	9.4%	62.7%	79.9%	78.7%	-
Other current assets	458	612	612	612	-	Net profit margin	6.0%	54.3%	68.0%	67.0%	-
Current assets	5,086	12,780	17,134	16,948	-	ROE	4.3%	88.0%	186.3%	196.6%	-
PP&E	619	674	674	674	-	ROA	3.3%	61.9%	134.1%	144.1%	-
LT investments	654	678	678	678	-	ROCE	4.6%	82.4%	186.1%	196.5%	-
Other non current assets	6,626	8,375	8,375	8,375	-	SG&A/Sales	7.8%	3.3%	1.8%	1.7%	-
Total assets	12,985	22,507	26,861	26,675	-	Net debt/equity	0.0	NM	NM	NM	-
Short term borrowings	20	0	0	0	-	P/E (x)	500.9	21.8	7.0	5.7	-
Payables	766	976	1,264	1,444	-	P/BV (x)	23.9	15.2	11.7	11.3	-
Other short term liabilities	641	4,605	4,605	4,605	-	EV/EBITDA (x)	NM	19.0	6.1	5.3	-
Current liabilities	1,427	5,581	5,869	6,049	-	Dividend Yield	-	-	-	-	-
Long-term debt	1,829	0	0	0	-	Sales/Assets (x)	0.6	1.1	2.0	2.1	-
Other long term liabilities	513	1,190	1,190	1,190	-	Interest cover (x)	NM	4,136.0	NM	NM	-
Total liabilities	3,769	6,771	7,059	7,239	-	Operating leverage	(3392.9%)	994.5%	146.9%	90.6%	-
Shareholders' equity	9,216	15,736	19,802	19,437	-	Revenue y/y Growth	10.4%	175.3%	140.3%	18.3%	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	203.8%	(1011.7%)	211.3%	16.7%	-
Total liabilities & equity	12,985	22,507	26,861	26,675	-	Tax rate	22.7%	13.0%	14.9%	14.9%	-
BVPS	63.90	100.38	130.20	134.72	-	Adj. Net Income y/y Growth	(195.2%)	2396.6%	201.4%	16.5%	-
y/y Growth	(16.8%)	57.1%	29.7%	3.5%	-	EPS y/y Growth	(195.3%)	2196.9%	210.6%	22.8%	-
Net debt/(cash)	368	(4,762)	(4,950)	(3,220)	-	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	84	11,671	29,374	37,355	-						
o/w Depreciation & amortization	163	149	148	148	-						
o/w Changes in working capital	(380)	203	(3,878)	(1,365)	-						
Cash flow from investing activities	556	(1,386)	(1,447)	(2,877)	-						
o/w Capital expenditure	(204)	(177)	(1,447)	(2,877)	-						
as % of sales	2.8%	0.9%	3.0%	5.0%	-						
Cash flow from financing activities	518	(7,001)	(27,739)	(36,209)	-						
o/w Dividends paid	-	-	-	-	-						
o/w Net debt issued/(repaid)	(100)	(1,900)	0	0	-						
Net change in cash	1,153	3,281	188	(1,730)	-						
Adj. Free cash flow to firm	(88)	11,522	27,866	34,417	-						
y/y Growth	(70.0%)	(13149.0%)	141.9%	23.5%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

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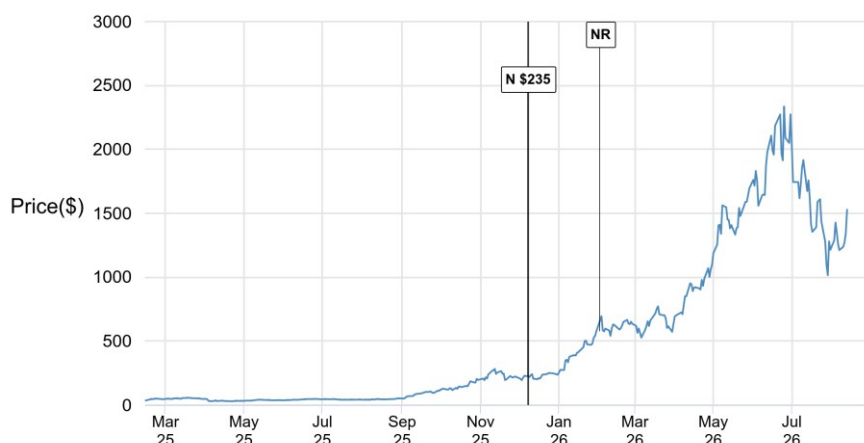
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Sandisk (SNDK, SNDK US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
08-Dec-25	N	228.47	235
02-Feb-26	NR	576.25	--

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 13, 2003. All share prices are as of market close on the previous business day.
Break in coverage May 13, 2016 - Dec 08, 2025.

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Completed 13 Aug 2026 10:59 PM EDT

Disseminated 14 Aug 2026 12:00 AM EDT